Basics of Income and Income Tax

2

Definition of income

- Simply income means what comes in.
- In a broader sense it connotes a periodical monetary return “Coming in” with some sort of regulatory or expected regulatory or definite sources.

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3

- **Definition of Income as per I.T ordinance 1984:** The term income means and includes the following :

- Any income, profits or gains from whatever source is derived which are chargeable to tax under the heads specified in section 20. (These are: Salaries, Interest on securities, Income from house property, Agricultural Income, Income from business or profession. Capital Gains, Income from other sources).
- The Profits and Gains of any business of insurance carried on by a Mutual Insurance Association.

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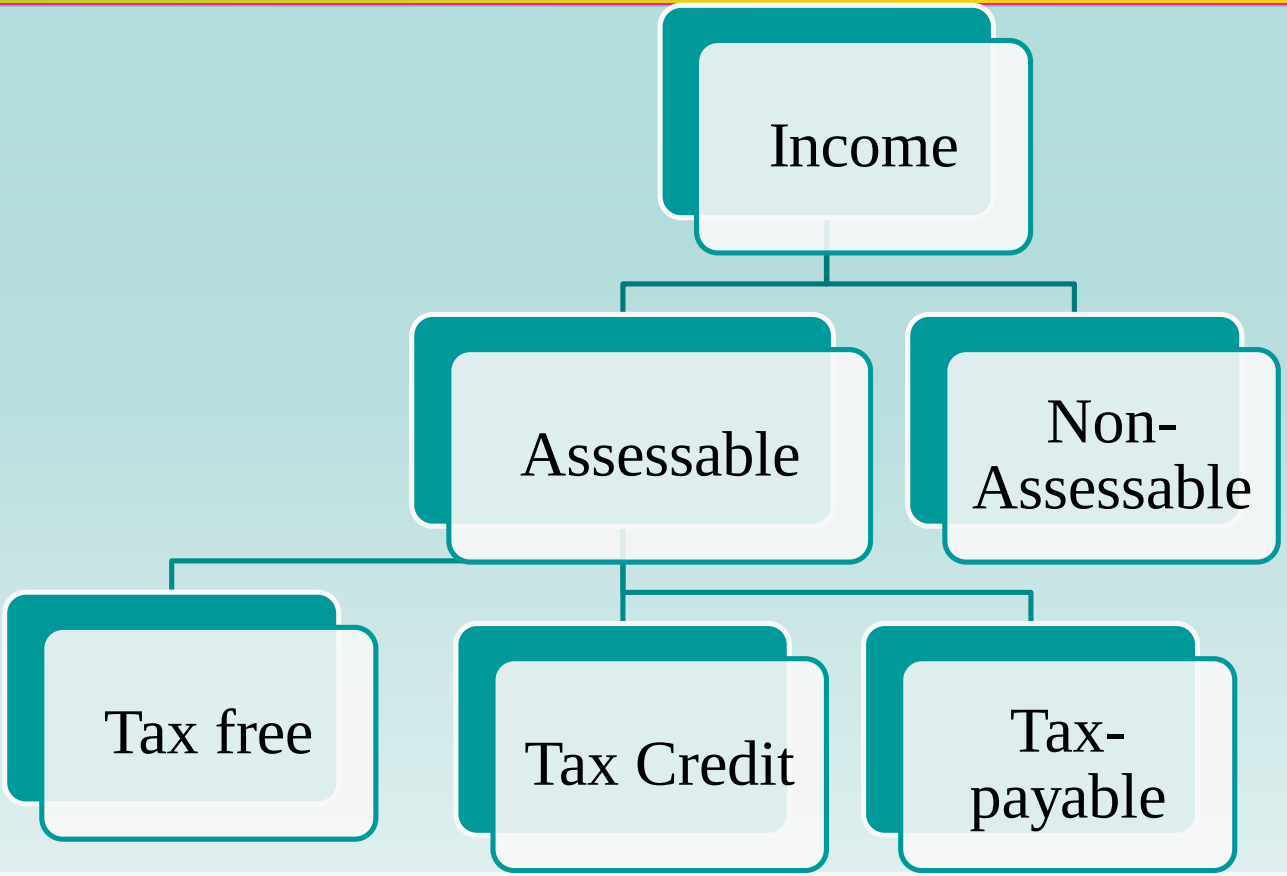
4

Classification of Income- on the basis of assessment



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5

Assessable Income

- Assessable Income/Taxable income: Those income which are included in the determination of the total income of an Assessee.
- Tax Free income/ Average rate rebate income: Those income which are included in the determination of the total income of an Assessee but a tax rebate or relief is given on average rate of such income.
- Example: 1) Income from partnership firm on which Tax already been paid 2) Income from association of person.
- Average Tax rate = Total Tax ÷ Total income ×100

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6

continue

- Tax credit Income/ Investment Allowance/ Fixed rate rebate income: Those income which are included in the determination of the total income of an Assessee but Tax rebate is allowed of an amount equal to 15% of sum eligible for Tax rebate.
- Amount of allowable investment is - actual investment or 30% of total income or Tk. 150,00,000/- whichever is less. Tax rebate amounts to 15% of allowable investment.

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- Tax payable income:

This is the amount ultimately for which assessee pays the Tax.

Tax payable income= total income - Tax credit income – Tax free income.

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8

List of Non-assessable Income

1. **Income from House property or operation of Religious and Charitable Trust**
2. **Voluntary contributions received by The Religious or Charitable Institution**
3. **Income of Micro credit operation of NGOs**
4. **Income of Local Authorities**
5. **Income of Specific Funds:** Income of a provident fund in the **Provident Fund Act, 1925** applies and Income of Workers Participation Fund under the Companies Profits (Workers Participation) Act, 1968 subject to any such conditions and limits as may be prescribed.
6. **Special Allowances:** If it is granted to meet expenses wholly for office duty, or, If it is incurred necessarily in the performance of the duty or duties of an office or employment of profit
7. **Income received by The Trustees of Recognized Provident Fund**

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9

Cont.

6. **Income of Employees of Foreign Missions**

7. Pension:

8. **Dividend: up to 25000.**

9. Interest on Government Securities

10. Interest on Tax –free securities is fully non-assessable.

11. **Gratuity**

12. Income from export business

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10

- Rest are on Reference book Page 128-1320.

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Definition of Income Tax

- "Income Tax is a tax on income"—Peter merchant Ltd vs Stedeford.
- "Income Tax for any assessment year at any rate or rate shall be charged, Levied, paid and collected in respect of total income of the income year or income year of every person"------ITO 1984.

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12

Characteristics of income Tax

- It is a direct Tax
- The levy of the Tax is regulated by the ordinance, 1984.
- It is charged on the total income of an income year of a person in an assessment year.
- The rate of the tax is determine by the govt. in the national assembly through Finance Act.

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13

Income Year

- According to section 2(35), income year means the financial year (i.e. the year commencing on one July every year) immediately preceding the assessment year or any other accounting period (Not exceeding 12 months) as adopted by the assessee and ending within the said financial year.

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14

Assessment Year

- According to section 2(9), Assessment year means the period of 12 months commencing on the first day of July every year. It is the year in which the assessments are made for taxation purpose of total income earned during the relevant income years by the assesses.
- It is the next year of Income year.

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15

Example of the year

Income year	Assessment year
1. 2010-2011	2011-2012
2. 2012-2013	2013-2014
3. 2013-2014	2014-2015

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16

Assesses

- According to section 2(7), Assessee means a person by whom any tax or other sum of money is pay able under the ordinance and includes :
- Person against whom income tax case / proceedings is going on
- Person who is required to file income tax return
- Person who desires to be assessed and submits income tax return.
- Person who is deemed to be an assessee or, an assessee in default under any provision of income tax ordinance.

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17

Classification of Assessee

- Assessee can be classified into Two Type:

A) On the basis of Person

B) On the basis of residential status

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18

Classification on Person

- The ordinance has provided an inclusive definition of the term person. according to section 2(46), person includes the following :
- An individual
- A firm
- An association of persons(AOP).
- A Hindu undivided family (HUF)
- A local authority
- A company and
- Every other artificial judicial person.

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19

Classification on Residential status

- Resident:

- An individual will be a resident in any income year if he fulfills any of the condition stated in the section 2(55) of the ITO. Such as , he should Stay for a period of 182 days or more in the year.

- Non resident: (Two type)

- If any one can not full fill the condition of the section 2(55) of the ITO.

1.Non resident Bangladesh 2. Non resident Foreigner

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20

Effect of Residential status in determining tax liability

1. <u>To determine the amount of total income:</u>

- A resident consider global income as his total income but a non resident does not consider income from other country in his total income

2. <u>To determine minimum limit of Taxable income:</u>

- Resident Assessee gets a benefit of minimum limit of total income upon which no tax should be given but non resident Assessee does not get this facility.

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21

continues

3. Tax Rate:

For resident or non resident Bangladeshi, tax is calculated at various rate at various level of income. Like 0% on first, 220000, 10% on next, 300000, 15% Next 400000, 20% on next 500000, 25% on next 3000000 and 30% on remaining balance. But For non resident foreigner has to pay tax at maximum rate i.e. 30%.

4. Tax rebate: No tax rebate is given to Non resident.

5. Tax liability:

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22

Income Tax Authority

Level	Administrative	Judicial
Top	National board of Revenue	Appellate Tribunal
Middle	Chief commissioner of Tax Director general Inspector of Tax (Tax payer Unit) Commissioner of Tax (Training) Director general (central Intelligence cell) Commissioner of Tax	Commissioner of Tax (appeal) Appellate Additional Commissioner of Tax Appellate Joint commissioner of Tax
Bottom	Deputy commissioner of Tax Tax Recovery officer Assist. Commissioner of Tax Inspector of Tax	

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Taxation

Definition of Tax

- The Tax has been derived from French Word “Taxe” and Latin word “Taxare” which means ‘to charge’
- Tax is a compulsory levy imposed by the government. People pay taxes to the government on the basis of what they earn, what they own, and what they purchase.
- “Taxes are compulsory payment to government without expectation of direct return in benefit to that tax payer.”- **Taylor**

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3

- “ A tax is a compulsory contribution imposed by a public authority irrespective of the exact amount of services rendered to the tax payer in return and not imposed as penalty for any legal offence” --- Dalton

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Characteristics of tax

- The main characteristics of tax are:
- Tax is a payment to the govt. by the people as is levied by the govt.
- Tax is non-penal and non fine. It is imposed without any certain purpose.
- It is paid without any expectation of direct benefit.
- It is compulsory payable by the persons. People are bound to pay tax if it is imposed.
- It is a most important fiscal mechanism of transferring private property to state property.
- It is a source of revenue. It is the prime source of revenue for the government.

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Objectives/Purposes of Tax

Government needs revenue for defense, administrative and development activities.

- **Collection of Revenue:** Tax aims to raise public revenue to meet the over increasing public expenditure.
- **Reduction of in-equalities in income and wealth:** By taxing rich people heavily and to confer benefits to the poorest section through progressive income tax and wealth tax.
- **Accelerating Economic Growth:** tax system must be so design as to raise the rates of savings and investment and this savings may be re-invested in productive sector of the country.
- **Control of Consumption**
- **Protection of local industries**
- **Economic development**

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6

Canons/ Principles of Taxation

- Canon relates to the rate, amount, method of levy and collection of tax. In other word, the characteristics or qualities which a good tax should possess are generally described as canon.
- According to Adam Smith: there are Four Canon which are still recognized as classic.

1) Canon of Equality **2) Canon of Certainty**	**3) Canon of Economy** **4) Canon of Convenience**
Others canon: Canon of Productivity, Canon of simplicity	Canon of Diversity, Canon of Elasticity etc.

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7

Classification of Tax

- Classification on the basis of Number of Tax:

1) Single Tax: when tax system of a county is based on one tax. In ancient time poll tax , Head tax
2) Multiple Tax: when tax system is based on different/ multiple tax. Like Income tax, Vat etc

- Classification on the basis of Impact and incidence of Tax:

1) Direct Tax: Tax burden can not be shifted
2) Indirect Tax:

8

Continue

- Classification on the basis of Structure of Tax rate:

1) Proportional Tax: Whatever the size of income, the rates of taxation remain same.

2) Progressive Tax: the rate of taxation increase as the income increase

3) Regressive Tax: the rate of taxation decrease as the income increase

4) Digressive Tax: A tax is slowly progressive up to a certain limit then may be changed to a flat rate

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- Classification on the basis of Tax base:

1) Income Tax
2) Wealth tax
3) Value added tax
4) Expenditure Tax

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10

Multiple Tax structure in Bangladesh

- Multiple Tax System in Bangladesh consist of various type:

A) Tax on Income and profit:

1) Income tax on Company

2) Income Tax on other than company

B) Tax on Property and capital transfer:

1) Estate Duty 2) Gift Tax 3) Land Revenue

4) Stamp duty 5) Registration

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11

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- Tax on good and services:

1) Customs duty
2) Excise duty
3) VAT
4) Tax on Vehicles

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